

Harambee University
Faculty of Business and Economics
Department of Accounting and Finance
Model Exam Hidar 2017

Instruction: Choose the best answer from the given alternatives and write your answer on the separate answer sheet only.

1. Which of the following events is not recorded in the accounting records?
 - A. **Hiring employees**
 - B. Equipment is purchased on account.
 - C. A cash investment is made
 - D. The company pays a cash dividend.
2. Which of the following entities would NOT fall under the scope of IPSAS?
 - A. A national government agency
 - B. A regional government
 - C. **Government business enterprises**
 - D. A public sector social security fund
3. What is the maturity value of a 60-day, 9% note of Br. 20,000? (Assume 360 days in a year)
 - A. 20,000
 - B. **20,300**
 - C. 19,700
 - D. 20,600
4. Assume that the actual direct material purchased is 5,000 units at \$10 each. The standard units allowed were 4,000 units at standard price of \$12 each. What is direct material usage variance?
 - A. **\$12,000U**
 - B. \$12,000F
 - C. \$10,000U
 - D. \$10,000F
5. What is the primary objective of an audit?
 - A. To detect and prevent fraud
 - B. To ensure compliance with laws and regulations
 - C. **To express an opinion on the truth and fairness of an organization's financial position and operating results**
 - D. To improve the efficiency and effectiveness of operations
6. _____ are costs which are not directly traced to the product but allocated to it by using some criteria.
 - A. Prime costs
 - B. Direct material costs
 - C. Direct labor costs
 - D. **Factory overheads**
7. Why auditor independence is considered paramount in maintaining the credibility of financial reporting?
 - A. It absolutely guarantees the complete accuracy and precision of the financial statements
 - B. It serves primarily to shield the auditor from potential legal liability and associated repercussions
 - C. **It fosters public trust by ensuring the auditor's ability to provide objective and unbiased assessments of financial statements**
 - D. It is principally intended to ensure the auditor's objectivity in providing a range of consulting services beyond auditing
8. What is the Current Ratio for XYZ Manufacturing Company if Current Assets are \$140,000 and Current Liabilities are \$60,000 and total asset \$1,250,000.?
 - A. 1.33
 - B. 2.00
 - C. **2.33**
 - D. 2.50

9. Company L acquires Company M in a transaction where Company M's shareholders receive \$4 million in cash and 50,000 shares of Company L's stock, which has a market value of \$20 per share. Company M has net assets with a book value of \$3 million and a fair value of \$4.5 million. What is the total cost of the acquisition?
- A. \$4 million
B. \$4.5 million
C. **\$5 million**
D. \$6 million
10. The foreign exchange rate for the immediate delivery of currencies exchanged is called:
- A. Forward rate
B. Historical rate
C. **Spot rate**
D. Swap rate
11. Which organization is responsible for setting International Financial Reporting Standards?
- A. IFRS Foundation
B. **International Accounting Standards Board**
C. IFRS Advisory Council
D. IFRS Interpretations Committee
12. Which of the following cost allocation methods ignores any reciprocal services among support departments?
- A. Reciprocal method
B. **Direct method**
C. Step-down method and
D. Dual rate method
13. What is the primary purpose of a "capital project fund"?
- A. To account for the routine operating expenses of a government
B. To manage resources dedicated to paying off long-term debt
C. **To track financial resources used for acquiring/constructing major capital facilities**
D. To invest surplus funds for future use
14. Which of the following is a resource that a business organization owns and possesses the capacity to provide future services or economic benefits?
- A. Capital
B. **Assets**
C. Liabilities
D. Equity
15. In Activity Based Costing system, costs are first identified/traced to:
- A. An organizational unit and then to product
B. Products and then to activities
C. To product and then to an organizational unit
D. **Activities and then to the products**
16. On April 1, 2024, ABC Company sells equipment for Br. 250,000. The equipment originally cost \$ 570, 000, had an estimated 5-year life and an expected salvage value of \$20,000. The accumulated depreciation account had a balance of \$330,000 on January 1, 2024, using the straight-line method. The gain or loss on disposal is
- A. \$27,500 gain.
B. \$27,500 loss.
C. \$37,500 loss.
D. \$10,000 loss.
A. **\$37,500 gain.**

17. Which of the following is an example of a conglomerate business combination?
- A. An airline company acquiring another airline company
 - B. A car manufacturer acquiring a tire manufacturer
 - C. A technology company acquiring a healthcare company**
 - D. A retail chain merging with another retail chain
18. After completion of the acquisition or construction of fixed asset, the asset itself will be accounted for in the:
- A. General long-term debt account group
 - B. General fixed asset account group**
 - C. General obligation debt
 - D. Debt service fund
19. W/ro Alem rents out a furnished apartment for Birr 12,000 per month. She incurred the following expenses during the year: maintenance - Birr 10,000; depreciation - Birr 18,000; insurance - Birr 4,000. Assuming she does not maintain formal books of accounts. What is her annual taxable rental income?
- A. Birr 144,000
 - B. Birr 112,000
 - C. Birr 72,000**
 - D. Birr 40,000
20. Which type of fee structure is generally prohibited for certain professional services provided by a member in public practice, particularly those requiring independence?
- A. A fixed fee agreed upon in advance for the entire engagement
 - B. An hourly rate charged for the time spent on the engagement
 - C. A value-based fee that is tied to the perceived benefits delivered to the client
 - D. A contingent fee that is dependent upon the outcome of the services provided**
21. Which of the following factors is NOT typically considered by auditors when deciding whether to accept a new client?
- A. The client's financial stability and creditworthiness
 - B. The client's willingness to provide a guaranteed unqualified audit opinion**
 - C. The reputation and integrity of the client's management team
 - D. The auditor's ability to obtain sufficient appropriate audit evidence
22. How payment of an account payable affects the components of the accounting equation?
- A. Decreases equity and decreases liabilities.
 - B. Increases assets and decreases liabilities.
 - C. Decreases assets and increases equity.
 - D. Decreases assets and decreases liabilities.**
23. Operating activities of cash flow statements include all, except;
- A. Cash collection for service provided
 - B. Cash paid for purchase of supply
 - C. Cash borrowing**
 - D. Cash paid for expenses
24. An important financial institution that assists in the initial sale of securities in the primary market is:
- A. Investment bank.**
 - B. Commercial bank.

- C. Stock exchange. D. Brokerage house
25. Bargain purchase is:
- A. A purchase of a business for less than its fair market value.
 - B. A purchase of a business for less than its book value.
 - C. A purchase of a business where the fair value of the identifiable net assets acquired exceeds the cost of the business combination.**
 - D. A purchase of a business
26. What does the agency problem refer to?
- A. The conflict that exist between the board of directors and the employees of them
 - B. The problem associated with financial managers and internal revenue agent
 - C. The conflict that exist between stockholders and investors
 - D. The problem that the result from potential conflict of interest between the manager of business and stockholders.**
27. Company H pays \$2 million in cash and issues 100,000 shares of its \$5 par value stock, currently trading at \$15 per share; to acquire Company L. Company L has identifiable net assets with a fair value of \$3.2 million. What is the amount of goodwill recognized by Company H?
- A. \$0 C. \$800,000
 - B. \$300,000** D. \$1,500,000
28. What is the purpose of an internal service fund?
- A. To provide services to the general public
 - B. To provide services to other departments or agencies within the government**
 - C. To manage long-term investments
 - D. To account for the construction of major capital facilities.
29. Palm Corporation acquires 100% of Starr Company's outstanding common stock by issuing 10,000 shares of its \$10 par common stock. Palm's common stock has a fair value of \$45 per share. Palm also incurs \$50,000 direct out-of-pocket costs related to the acquisition. What is the total cost of the investment in Starr Company?
- A. \$100,000 C. \$500,000
 - B. \$400,000 D. \$550,000
30. What is a non-controlling interest?
- A. The ownership interest in a subsidiary that is held by the parent company.
 - B. The ownership interest in a subsidiary that is held by the government.
 - C. The ownership interest in a subsidiary that is not held by the parent company**
 - D. The ownership interest in a subsidiary that is held by a foreign investor.
31. Upon arrival in Ethiopia, Edward exchanged \$10,000 of U.S. currency into Br.800,000. While returning after his six month visit, he exchanged his remaining Br.250,000 into \$2,500 of U.S. currency. What amount of gain or a loss did Edward experience on the Birr he left when converted to U.S. dollars at the departure date?
- A. Loss of \$3,125 C. Gain of \$ 8,000
 - B. Gain of \$2,500** D. Loss of \$625

32. Purchasing a security of company that is issuing their stock for the first time public would be considered:
- A. A secondary market transaction
 - B. An initial public offer**
 - C. A seasoned new issue
 - D. None
33. Which of the following factors would generally make audit evidence MORE reliable?
- A. Evidence obtained from the client's internal accounting records, particularly if internal controls are weak
 - B. Oral representations made by the client's management team during inquiries
 - C. Confirmation of account balances received directly from third parties, such as banks and customers**
 - D. Photocopies of key supporting documents, such as invoices and contracts.
34. The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is:
- A. Outstanding check
 - B. Non-sufficient fund check**
 - C. Bank error
 - D. Deposit in transit.
35. If an investor had a choice of receiving ETB 1,000 today or ETB 1,100 in five years with 10% annual interest which would the average investor prefer?
- A. ETB 1,100 in five years because they are not good at saving money
 - B. ETB 1,000 today because it will be worth more than ETB 1,100 received in five years**
 - C. ETB 1,100 in five years because it will be worth more than ETB 1,000 received today
 - D. Investor would be indifferent to when they would receive ETB 1,000 or 1,100
36. When using the market approach to fair value measurement, what type of information is considered most reliable?
- A. Prices from transactions involving similar assets in inactive markets
 - B. Internally generated estimates of future cash flows
 - C. Appraisals conducted by independent valuation experts
 - D. Quoted prices for identical assets in active markets**
37. Accounts that normally have debit balances are:
- A. Assets, expenses, and revenues.
 - B. Assets, dividends, and expenses**
 - C. Assets, expenses, and equity.
 - D. Assets, liabilities, and dividends.
38. What is a key challenge in achieving cost-effectiveness in financial regulation?
- A. The difficulty in accurately measuring the true costs and benefits of regulatory interventions
 - B. The lack of political will to impose regulations that might be unpopular with the financial industry**
 - C. The rapid pace of technological change making it difficult for regulations to keep up with new financial products and services
 - D. Finding a balance between the effectiveness of regulations in achieving their goals and minimizing unintended negative consequences**

39. ABC Company wants to undertake job No. 1 during the year 2023. The estimated total manufacturing overhead cost for the year is birr 500, 000. The organization uses units of production as allocation base. The estimated units of production and the actual units of the job completed during the year are 250, 000 units and 8, 000 units respectively. Actual direct materials used by the job is birr 37, 500(from job cost sheet). The Company also actually incurred direct labor cost of birr 32, 500 for the job (from the job cost sheet). What is the total cost of the job?
- A. 70, 000 birr
 B. **86, 000 birr**
 C. 570, 000 birr
 D. 320, 000 birr
40. Capital project fund do not accounts for the acquisition of:
- A. Administrative building
 B. Civic centers
 C. Libraries
 D. **Office equipment**
41. Adama clothe store had a balance in the account receivable ETB 468,750 and Net credit Sale during the year amounted to ETB 3,000,000. The Average Collection Period of the receivable in terms of days was:
- A. 53 days
 B. 365 days
 C. 60 days
 D. **57 days**
42. Which of the following is NOT considered a non-trade receivable?
- A. Advances to officers and employees
 B. **Oral promises for goods and services sold**
 C. Dividends and interest receivable
 D. Claims against insurance companies for casualties sustained
43. Assume that a company sales equipment for Birr 12,000 that has cost of Birr 15,000 and accumulated depreciation of Birr 2,000. What will be gain or loss on sale?
- A. Birr 1,000 gain
 B. **Birr 1,000 loss**
 C. Birr 3,000 gain
 D. Birr 3,000 loss
44. Which fund is responsible for accumulating resources to repay the principal and interest on general long-term debt?
- A. General Fund
 B. Special Revenue Fund
 C. Capital Projects Fund
 D. **Debt Service Fund**
45. If ending inventory of current period is overstated, what would be the effect of this error in the next period?
- A. Cost of goods sold will be understated
 B. **Beginning inventory will be overstated**
 C. Net income will be overstated
 D. It does not have an effect
46. Which of the following is NOT a characteristic commonly associated with money market instruments?
- A. Short-term maturity
 B. **High risk**
 C. High liquidity
 D. Close association with money

47. In a joint operation, Belayab Company contributes ETB 800,000 in sales. The joint operation's total sales are ETB 4,800,000. What percentage ownership does Belayab Company have in the joint operation?
- A. 10% C. 20%
B. **16.67%** D. 50%
48. Which inventory system **continuously updates** the Inventory and Cost of Goods Sold accounts?
- A. Periodic Inventory System C. Specific Identification Method
B. **Perpetual Inventory System** D. Weighted-Average Method
49. Yilma invested ETB 6,200 in Account that pay 5% simple interest. How much money will you have at the end of the 5 year?
- A. ETB 8,710 C. **ETB 7,750**
B. ETB 9,000 D. ETB 9,678
50. _____ is the work performed by an employee beyond the regular working hours or days.
- A. Desert Allowance C. **Overtime Payment**
B. Position Allowance D. Transportation Allowance
51. Which of the following is not true about cost accounting?
- A. It is the process of accumulating cost and assigning this cost to cost object
B. Provides cost data for both management accounting and financial accounting
C. It is subfield of management accounting.
D. **Applied only in manufacturing companies**
52. Entity E is required to make a cash payment to employees in two years. The amount of the payment is based on the price of Entity E's stock. The fair value of the liability is currently \$100,000. What type of share-based payment is this?
- A. Equity-settled C. Compound award
B. **Cash-settled** D. Share appreciation right
53. Your Dad invested the lump sum 26 years ago at 4.25% today. He gave you the proceed of that investment which totaled ETB 51,400.79. How much did your father deposit originally?
- A. ETB 15,929.47 C. **ETB 17,444.86**
B. ETB 16,500 D. ETB 17,500
54. STU Corporation's branch in Adama remits Br. 8,000 in cash to the home office. What is the impact on the Home Office account in the branch's accounting records?
- A. **Decrease by Br. 8,000** C. No change
B. Increase by Br. 8,000 D. Decrease by Br. 16,000
55. Types of depreciation that results with the same amount of depreciation for each year is:
- A. Double declining C. **Straight line**
B. Sum of the years digits D. Units of activity
56. Which fund type is used to account for a city-owned water utility that charges fees to its customers?
- A. Internal service fund C. Special revenue fund
B. **Enterprise fund** D. Capital project fund

57. What does it mean when an auditor issues a "qualified opinion" on the financial statements?
- A. The auditor has found no material misstatements in the financial statements and believes they are presented fairly in all respects
 - B. The auditor is unable to form an opinion on the fairness of the financial statements due to significant scope limitations
 - C. The financial statements contain material misstatements that are so pervasive that they render the financial statements as a whole misleading
 - D. **The auditor believes the financial statements are presented fairly in all material respects, except for a specific matter that has been qualified.**
58. Which of the following is a liquidity ratio?
- A. Inventory turnover ratio
 - B. Debt-to-equity ratio
 - C. **Current ratio**
 - D. Return on equity
59. IFRS permits the following methods of assigning costs to inventories, except:
- A. FIFO
 - B. **LIFO**
 - C. Weighted Average
 - D. Specific identification
60. A company purchased vehicle and Equipment for Br.960,000; the fair market values were Br.682,500 for the vehicle and Br.367,500 for the Equipment. At what amount the vehicle and Equipment will be recorded?
- A. Br 682,500 and Br 367,500 respectively
 - B. Br 960,000 and Br 1,050,000 respectively
 - C. **Br 624,000 and Br 336,000 respectively**
 - D. Br 576,000 and Br 384,000 respectively
61. What is the primary function of public expenditure in relation to public revenue?
- A. To minimize the need for future revenue collection
 - B. **To utilize collected revenues to achieve governmental objectives**
 - C. To invest all collected revenue in profit-generating ventures
 - D. To redistribute all collected revenue equally among citizens
62. Which of the following departments would NOT be considered a service or support department?
- A. **Assembly**
 - B. information systems
 - C. plant maintenance
 - D. None
63. What is the key difference between the capital market and the money market?
- A. The capital market deals with short-term debt securities, while the money market focuses on long-term equity investments
 - B. The capital market involves the trading of previously issued securities, while the money market deals with the initial issuance of new securities
 - C. **The capital market focuses on long-term financial instruments, while the money market deals with short-term instruments**
 - D. The capital market is regulated by the government, while the money market operates with minimal oversight.

64. Which of the following statement is true about tax?
- A. Taxpayers have a right to specific benefits based on the taxes they pay.
 - B. Taxes are primarily used to fund private ventures.
 - C. Taxes are voluntary contributions to support government initiatives.
 - D. Taxes are compulsory payments without the expectation of a direct return of goods or services.**
65. What document must indicate the manner of distributing profits, the share in profits allocated to founders, the number of directors and their powers, and the agents of the company?
- A. Memorandum of Association**
 - B. Prospectus
 - C. Commercial Register
 - D. None
66. Which of the following audit procedures is LEAST likely to involve sampling?
- A. Confirming the terms of a significant contract with a major customer**
 - B. Testing a sample of invoices for proper authorization and supporting documentation.
 - C. Selecting a random sample of inventory items for physical inspection and valuation.
 - D. Vouching a sample of recorded sales transactions to supporting shipping documents.
67. What leads to differences between pre-tax financial income and taxable income?
- A. IFRS and tax regulations are always aligned.
 - B. Companies manipulate their financial statements to reduce taxes.
 - C. Variations exist between International Financial Reporting Standards (IFRS) and tax regulations.**
 - D. Pre-tax financial income and taxable income are always identical.
68. If quantity is 4,000 units, variable cost per unit is \$20 and total fixed cost is \$60,000; what is selling price per unit at breakeven point?
- A. \$35**
 - B. \$200
 - C. \$20
 - D. \$15
69. Except one all are the time the insurance contract is recognized
- A. Earliest of when a group of contract become onerous
 - B. Earliest of beginning of coverage period
 - C. Earliest of date when first payment is due
 - D. Earliest of the date when first profit is earned**
70. What is the purpose of the "undesigned power of taxation" in the Ethiopian constitution?
- A. To allow the federal government to impose any new tax without regional consent
 - B. To grant exclusive taxing power to regional governments on emerging industries
 - C. To resolve potential disputes between federal and regional governments over taxing new economic activities**
 - D. To eliminate all forms of taxation by both federal and regional governments
71. Which of the following is NOT a characteristic of a not-for-profit organization?
- A. Service to society
 - B. No profit motive
 - C. Stewardship for resources
 - D. Maximizing shareholder wealth**

72. What is the key difference between the interest rate a bank offers for lending and the interest rate it pays for deposits?
- A. The lending rate is always fixed, while the deposit rate is variable
 - B. The lending rate is determined by the central bank, while the deposit rate is set by individual banks
 - C. The lending rate is higher than the deposit rate, covering administrative costs and profit for the bank**
 - D. The lending rate applies to long-term loans, while the deposit rate applies to short-term savings.
73. Who determines the value of contributions in kind for private limited companies in Ethiopia?
- A. Disinterested experts appointed by the Ministry of Trade and Industry
 - B. A notary public
 - C. Members of the company**
 - D. The founders of the company
74. On January 2, 2024, if merchandise is sold on account to a customer for \$200,000, terms FOB shipping point, 2/10, n/30, and amount of freight is 5,000, one of the following is not correct:
- A. Discount for early payment is \$4,000
 - B. Freight cost will be covered by the seller**
 - C. Freight cost will be covered by the buyer
 - D. No discount for collection after January 12, 2024
75. What is the main reason auditor use sampling technique?
- A. To eliminate the risk of audit errors completely
 - B. To obtain sufficient audit evidence while reducing the cost and time of the audit**
 - C. To guarantee the absolute accuracy of the financial statements
 - D. To test all transactions and account balances without exception
76. When vouching recorded sales, what is the primary objective of the auditor?
- A. To ensure all sales have been accurately posted to the correct customer accounts
 - B. To verify that sales transactions actually occurred**
 - C. To check for the timely recording of sales within the appropriate accounting period
 - D. To evaluate the effectiveness of credit granting and collection procedures
77. Belayab Motors acquires 25% of Lifan Motors for ETB 60,000. During the year, Lifan Motors earns a profit after tax of ETB 24,000 and pays a dividend of ETB 6,000. What is the carrying amount of Belayab Motors' investment in Lifan Motors at the end of the year?
- A. ETB 58,500
 - B. ETB 60,000
 - C. ETB 61,500
 - D. ETB 64,500**
78. A typical example of a liability of uncertain timing or amount is?
- A. Purchase of products on credit.
 - B. Accrued salaries and wages
 - C. Obligations related to litigation**
 - D. Unsecured promissory note.

79. Which one is not operating budget?
- A. Purchase budget
 - B. Operating expense budget
 - C. **Capital budget**
 - D. Sales budget
80. How do financial institutions primarily contribute to economic growth?
- A. By printing money and controlling inflation
 - B. **By channeling savings into loans and investments**
 - C. By regulating financial markets and preventing fraud
 - D. By providing tax incentives for businesses.
81. All of the following cause a dissolution of a partnership, except;
- A. Withdrawal of an existing partner
 - B. Death of a partner
 - C. Admission of new partner
 - D. **Liquidation of a partnership**
82. What are the five classes of transactions in the sales and collection cycle?
- A. **Sales, Cash receipts, Sales returns, Debt write-offs, Bad debt estimations**
 - B. Purchases, Cash disbursements, Purchase returns, Debt collections, Inventory estimations
 - C. Sales, Inventory management, Cash flows, Receivables, Payables
 - D. Ordering, Shipping, Billing, Collections, Returns
83. According to IAS 41, how should agricultural produce be measured at the point of harvest?
- A. At its historical cost.
 - B. Using the weighted-average method.
 - C. **At its fair value less costs to sell.**
 - D. At its estimated selling price in the future.
84. JKL Company's branch in Adama had sales of Br. 60,000. The merchandise sold was acquired from the home office and billed at a markup of 25% above the home office cost. If the home office cost of the merchandise was Br. 32,000, what is the gross profit reported by the branch?
- A. Br. 8,000
 - B. **Br. 20,000**
 - C. Br. 40,000
 - D. Br. 32,000
85. Which of the following is NOT a criterion for recognizing an intangible asset?
- A. The asset must be identifiable.
 - B. The entity must control the asset.
 - C. The asset must have a finite useful life.
 - D. **The asset must be acquired through a separate purchase.**
86. What is the main difference between depository and non-depository financial institutions?
- A. Depository institutions offer investment services, while non-depository institutions provide insurance
 - B. Depository institutions are for-profit, while non-depository institutions are non-profit
 - C. **Depository institutions accept deposits from customers, while non-depository institutions do not**
 - D. Depository institutions are regulated by the government, while non-depository institutions are not

87. Which one of the following cost is **irrelevant** cost?
- A. Differential cost
 - B. Opportunity cost
 - C. Variable cost
 - D. **Sunk cost**
88. What is the primary form of dividend that is paid out in cash to shareholders?
- A. Stock dividend
 - B. Bond dividend
 - C. Property dividend
 - D. **Cash dividend**
89. Assume that ABC Company performs an impairment test for its Machinery. The carrying amount of machinery is \$220,000, its fair value less costs to sell is \$216,000, and its value-in-use is \$210,000. What is related loss on impairment?
- A. \$10,000
 - B. **\$4,000**
 - C. \$6,000
 - D. \$16,000
90. What is the relationship between the effectiveness of internal controls and the extent of substantive testing?
- A. As the effectiveness of controls increases, the extent of substantive testing also increases.
 - B. Strong internal controls have no impact on the extent of substantive testing.
 - C. As the effectiveness of controls decreases, the extent of substantive tests decreases.
 - D. **As the effectiveness of controls increases, the extent of substantive tests decreases.**
91. When do companies typically recognize a liability related to the acquisition of goods and services?
- A. When the goods and services are sold
 - B. **When the goods and services are received**
 - C. When goods are returned
 - D. When payment is made
92. A VAT registered business, Seble Bakery, purchased flour for Birr 60,000, excluding VAT. Seble Bakery sold bread for a total of Birr 100,000, excluding VAT. What is the amount of VAT liability to be paid by Seble Bakery?
- A. Birr 15,000
 - B. Birr 9,000
 - C. **Birr 6,000**
 - D. Birr 40,000
93. To be relevant, cost and revenue must be:
- A. Not related with alternative course of action
 - B. Not be occur in the future
 - C. **Differ among alternatives course of action**
 - D. The same across all the available alternatives
94. Interest costs incurred during the construction of a building should be:
- A. **Capitalized as part of the cost of the building**
 - B. Expensed as incurred
 - C. Recorded as a liability and amortized over the life of the building
 - D. Ignored, as they are not relevant to the cost of the building

95. According to the Modigliani-Miller Theorem, what influences the value of a firm?
- A. **Its capital structure**
 - B. The level of financial leverage
 - C. The type of industry it operates in
 - D. The market timing of its financing decisions.
96. At the end of the fiscal year, Accounts Receivable has a balance of Br.100,000, Allowance for Doubtful Accounts has a balance of Br.7,000 and sales returns and discounts are Br.2,500. The expected net realizable value of the accounts receivable is:
- A. Br.7,000
 - B. Br.100,000
 - C. **Br.93,000**
 - D. Br.107,000
97. Which of the following variance measure effectiveness?
- A. **Sales volume variance**
 - B. Flexible budget variance
 - C. Both sales volume and flexible budget variance
 - D. Neither flexible budget nor sales volume variance
98. Which of the following is NOT a key role of the financial system in the economy?
- A. Mobilization of savings
 - B. Providing financial services
 - C. Offering portfolio adjustment facilities
 - D. **Determining tax revenues for governments**
99. Investment property is:
- A. Property held for personal use
 - B. Property used in the production or supply of goods or services
 - C. **Property held to earn rentals or for capital appreciation**
 - D. Property held for sale in the ordinary course of business
100. Under the equity method of accounting for the operating results of a subsidiary, dividends declared by the subsidiary to the parent company are accounted for by the parent company as:
- A. Addition to the investment in subsidiary
 - B. Dividend revenue on the declaration date
 - C. **A reduction of the investment in subsidiary**
 - D. Dividend revenue on the payment date